

eCommerce

Industry Size

US\$ 65–66 Bn

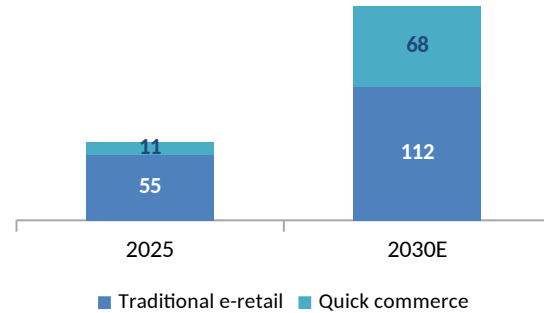
India e-retail GMV, CY2025

Grew **19–21% in 2025**, accelerating to 22–24% in H2 and an estimated 23–25% in Q1 2026 [\(Source\)](#)

Still only **1.6% of GDP** and 6–6.5% of total retail, against 13–14% of GDP in China [\(Source\)](#)

Including travel and services, IBEF sizes total e-commerce at **US\$ 125 Bn**, heading to US\$ 345 Bn by 2030 [\(Source\)](#)

Industry Growth



Growth is coming from more shoppers rather than richer ones: GMV per shopper is only **\$220–230** against \$610–620 in China, and just 30% of India's internet users shop online versus 92% in China and 74% in the US — 2 in 3 chat and social-media users have still never bought online [\(Source\)](#)

21–22%
E-retail GMV CAGR, 2025–30E

\$170–180 Bn
E-retail GMV by 2030E

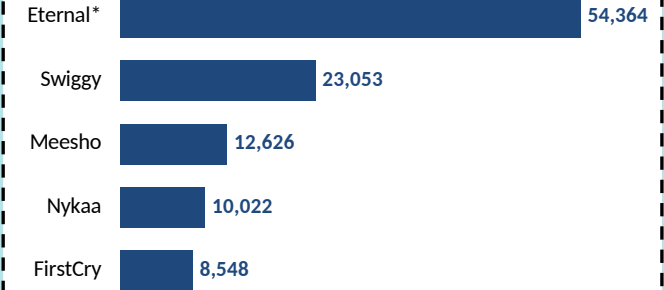
290–300 Mn
Online shoppers in 2025 (2.1x since 2020)

10–12%
Share of total retail spend by 2030E

Bain's *How India Shops Online 2026* projects e-retail GMV of US\$170–180 Bn by 2030, with quick commerce rising from 16–17% of GMV to 35–40% [\(Source\)](#)

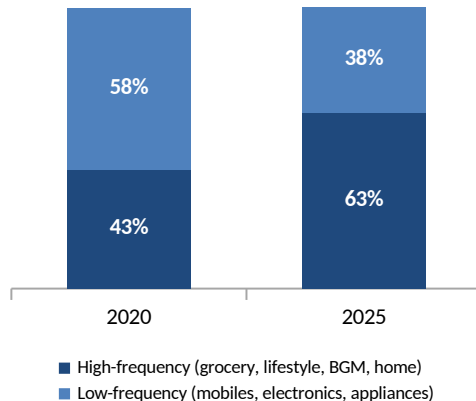
Key Players & Market Share

FY26 revenue, listed platforms (₹ Cr)



**Eternal's revenue is not comparable: Blinkit switched from a marketplace to an inventory-led model in FY26, grossing up reported revenue. Like-for-like adjusted revenue grew 64%, not 169% [\(Source\)](#)*

Business Model & Industry Mix



E-retail GMV mix has flipped to high-frequency categories, which drove three-quarters of growth over 2020–25 [\(Source\)](#)

Marketplace (commission + ads)

Flipkart, Amazon, Meesho. Platform never owns the goods — it earns commission, fulfilment fees and advertising. The only model where 100% FDI is allowed. [\(Source\)](#)

Inventory-led vertical retail

Nykaa, FirstCry, Zepto. The platform buys and owns the SKU, so gross margin and control are higher but working capital and markdown risk sit on its balance sheet. [\(Source\)](#)

Quick commerce (dark stores)

7,000+ micro-fulfilment centres across 200+ cities delivering in under 30 minutes; 16–17% of e-retail GMV, of which 85–90% is household essentials. [\(Source\)](#)

Social, reseller & open network

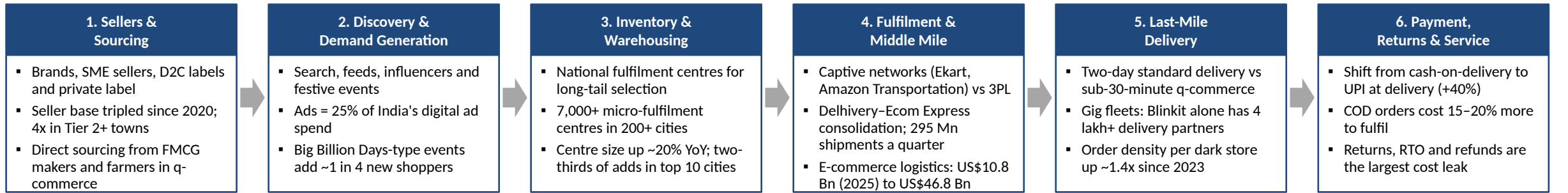
Meesho's reseller model, D2C brands selling through Instagram and Shopify, and ONDC's open protocol, which has now crossed 500 million cumulative transactions. [\(Source\)](#)

Monetisation: advertising has become the profit pool — e-retail ads are **25% of India's digital ad spend** (18% in 2023), growing about twice as fast as social media, and now contribute 5–6% of quick-commerce GMV [\(Source\)](#)

Demand mix: Tier 2+ towns supply roughly half of incremental orders and 65% of new shoppers; Gen Z is 40–45% of shoppers and nearly one in two incremental orders; the seller base has tripled since 2020 and quadrupled in Tier 2+ [\(Source\)](#)

- **E-retail GMV share:** Flipkart leads with 50–60%, Amazon holds 25–30% and Meesho about 10% — the biggest platforms are unlisted, so revenue rankings understate them [\(Source\)](#)
- **Quick commerce is a three-horse race:** Blinkit 46–48%, Swiggy Instamart 24%, Zepto 22%, with BigBasket's BB Now at 5–7%. Amazon Now and Flipkart Minutes have each crossed 500 dark stores [\(Source\)](#)
- **The unlisted majors dwarf the listed set:** Flipkart India booked ₹82,787 Cr of revenue in FY25 (+17%) with a ₹5,189 Cr loss, while Flipkart Internet lost ₹15,686 Cr [\(Source\)](#) (2)
- Amazon Seller Services cut its FY25 loss 89% to ₹374 Cr on 18.6% revenue growth — the clearest sign that the marketplace model can be made to work at scale [\(Source\)](#)
- Vertical specialists (Nykaa in beauty, FirstCry in kids, Lenskart in eyewear) and new entrants Reliance and Adani keep the field crowded [\(Source\)](#)

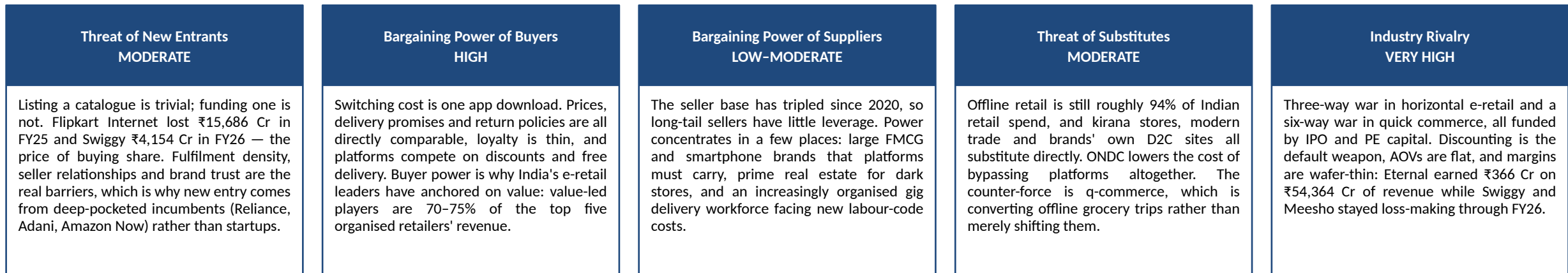
Value Chain & Supply Chain



Supply-chain reality: the chain is being rebuilt around speed. Two-day national fulfilment is giving way to a dense grid of micro-fulfilment centres — 7,000+ across 200+ cities in 2025 against 2,200 across fewer than 70 cities in 2023 — but two-thirds of new centres still go to the top ten cities, so the network is deepening faster than it is widening ([Source](#))

Third-party logistics is consolidating in parallel: Delhivery's acquisition of Ecom Express created a single dominant e-commerce 3PL handling 295 Mn shipments a quarter, in a market forecast to grow from US\$10.8 Bn (2025) to US\$46.8 Bn (2035) at a 15.8% CAGR ([Source](#)) ([2](#))

Porter's Five Forces



Net assessment: this is a structurally attractive market with structurally poor economics. Demand is expanding at 20%+ with two-thirds of India's digital users still to make a first purchase, and suppliers have almost no leverage — but buyers hold all the switching power and rivalry is funded rather than earned, so the surplus flows to consumers. Profit accrues only where a platform escapes price competition: advertising, private label and fulfilment density. Retail media, now 25% of India's digital ad spend and 5–6% of q-commerce GMV, is the clearest example ([Source](#)) ([2](#))

Growth Drivers

- **Shopper headroom is the single biggest driver** — only ~30% of India's internet users shop online versus 92% in China and 74% in the US; up to 850 Mn Indians are already in the digital funnel [\(Source\)](#)
- **Spend per shopper is at an inflection** — GDP per capita moves from ~\$2.8K to \$4K+ by 2030, the global trigger point for discretionary spending; top metros already spend 65% more per shopper [\(Source\)](#)
- **Bharat is doing the heavy lifting** — Tier 2+ towns contribute ~50% of incremental orders and 65% of new shoppers, helped by 45–50% highway expansion and 55% of UPI value [\(Source\)](#)
- **Gen Z has become the core cohort** — 40–45% of shoppers against a 25–30% share of internet users, and nearly one in two incremental orders [\(Source\)](#)
- **Policy tailwinds fed straight into demand** — the September 2025 GST cuts lowered lifestyle prices 6–7% and appliances 7–8%; income tax relief added \$10–12 Bn of disposable income; festive retail grew ~25% [\(Source\)](#)
- **Quick commerce is expanding the pie, not just splitting it** — e-grocery penetration is up fivefold since 2020 to 1.5% of the grocery market, and 6–7% in metros [\(Source\)](#)
- **Digital rails keep lowering friction** — UPI at delivery is replacing cash, embedded credit and no-cost EMI widen affordability, and ONDC has passed 500 Mn cumulative transactions [\(Source\)](#)

Emerging Trends

- **Quick commerce becomes the default channel** — \$10–11 Bn in 2025 heading to \$65–70 Bn by 2030, contributing 45–50% of all incremental e-retail GMV [\(Source\)](#)
- **Retail media is the real profit engine** — e-retail ads are 25% of digital ad spend, up from 18% in 2023 and growing about twice as fast as social [\(Source\)](#)
- **Conversational and agentic commerce** — India is the world's second-largest ChatGPT market at 160 Mn+ MAU (4.5x in 2025); Amazon's Rufus and ChatGPT Instant Checkout are early moves from opposite directions [\(Source\)](#)
- **Q-commerce is broadening beyond groceries** — discretionary categories are 10–15% of q-commerce GMV today and are set to grow 45–50% a year to 2030 [\(Source\)](#)
- **Value commerce is the winning posture** — value-led players account for 70–75% of the top five organised retailers' revenue in India, mirroring Pinduoduo and Shopee elsewhere [\(Source\)](#)
- **Premiumisation runs alongside it** — average selling prices in mobiles, electronics and appliances rose 10–20% over 2023–25 as shoppers trade up within categories [\(Source\)](#)
- **Open networks and D2C keep chipping at platform lock-in** — ONDC has crossed 500 Mn transactions, with over 70% of demand from non-metro and Tier 2–3 towns [\(Source\)](#)

Recent Investments / M&A

- **Meesho listed in December 2025:** a ₹4,250 Cr fresh issue subscribed 79x, opening at ₹162.5 against a ₹111 issue price — a 46% listing premium and the largest tech IPO of the year [\(Source\)](#)
- **Flipkart moved its headquarters back to India in March 2026** after more than a decade in Singapore, clearing the way for a domestic listing targeted in the year to March 2027 [\(Source\)](#)
- **Zepto has filed confidentially for an IPO:** ₹11,000–12,000 Cr targeted at a \$5–7 Bn valuation, expected mid-2026 — the first pure quick-commerce listing [\(Source\)](#)
- **PhonePe has SEBI approval for a ₹12,000 Cr IPO** but deferred the listing on market conditions; Jio Platforms filed its DRHP in June 2026 for roughly ₹37,000 Cr [\(Source\)](#)
- **Delhivery acquired Ecom Express**, consolidating the two largest e-commerce 3PLs into one network reaching Tier 3 and Tier 4 towns and handling 295 Mn shipments a quarter [\(Source\)](#)
- **Adani committed ₹30,000 Cr to Kerala** over five years across infrastructure, logistics and manufacturing — an indication of how much capital is chasing the fulfilment layer [\(Source\)](#)
- **Roughly ₹1.5 lakh crore of consumer-internet issues sit in the 2026 pipeline**, making public markets, rather than private rounds, the sector's main funding source for the first time [\(Source\)](#)

Key Business Risks

- **Profitability is still the exception** — in FY26 Swiggy lost ₹4,154 Cr, Meesho ₹1,358 Cr and FirstCry ₹204 Cr, while Eternal's ₹366 Cr profit is a 0.7% net margin on ₹54,364 Cr of revenue [\(Source\)](#)
- **Quick-commerce economics are unproven outside metros** — Blinkit reached only +0.3% of NOV in Q4 FY26 against a 5–6% mature-market target, and two-thirds of new dark stores still go to the top ten cities [\(Source\)](#)
- **Valuations leave no margin for error** — Eternal trades at ~674x earnings and Nykaa at ~456x; Swiggy and Meesho have no earnings to capitalise at all [\(Source\)](#)
- **Regulatory structure constrains the model** — FDI is barred in inventory-based e-commerce, so foreign-funded platforms must stay marketplaces; quick commerce's inventory-led shift sits squarely in that grey zone [\(Source\)](#)
- **Political and competition pressure is building** — trader bodies allege large-scale kirana closures and predatory pricing, and the CCI continues to examine preferential treatment, parity clauses and deep discounting [\(Source\)](#)
- **Cost structure is exposed on two flanks** — cash-on-delivery orders cost 15–20% more to fulfil, and an organising gig workforce plus new labour codes raise the floor on last-mile cost [\(Source\)](#)
- **Funding dependence remains the binding constraint** — growth is bought with discounts and dark-store capex, so a shut IPO window or a risk-off market would force a rapid reset in growth ambitions [\(Source\)](#)

eCommerce

Balance Sheet Snapshot

Consolidated, FY26 (₹ Cr)

Company	Net worth	Borrowings	Investments	Fixed assets	Total assets
Eternal	30,980	4,592	14,833	12,675	40,722
Swiggy	18,314	2,551	6,034	4,558	25,237
FirstCry	4,827	1,594	5	3,591	9,028
Meesho	4,386	63	1,210	195	7,907
Nykaa	1,438	1,238	0	1,008	4,611

Source: Screener.in company pages — [Eternal](#) · [Swiggy](#) · [FirstCry](#) · [Meesho](#) · [Nykaa](#)

- These are IPO-funded balance sheets, not earned ones. Eternal carries ₹18,000 Cr of cash and ₹14,833 Cr of investments; Swiggy and Meesho are similarly cash-rich because they listed, not because they generated it. [\(Source\)](#)
- Reported borrowings are overwhelmingly lease liabilities under Ind AS 116 — dark stores, warehouses and offices are rented. Genuine financial debt across the listed set is minimal. [\(Source\)](#)
- Fixed assets separate the models sharply. Eternal's ₹12,675 Cr gross block reflects 2,243 dark stores and 17 Mn sq ft of storage; Meesho's ₹195 Cr shows what a pure asset-light marketplace actually needs. [\(Source\)](#)
- Working capital runs in the platform's favour. Customers pay at or before delivery while sellers are paid on a lag, so marketplaces operate on negative working capital — which is why Meesho can fund ₹12,626 Cr of revenue off ₹7,907 Cr of assets. [\(Source\)](#)
- Nykaa is the exception that proves the rule: an inventory-led retailer with ₹1,238 Cr of borrowings against ₹1,438 Cr of net worth, because it owns stock and 265 physical stores. [\(Source\)](#)
- Capex is now funded from operations at the leader. Eternal spent about ₹1,700 Cr of capex in FY26 out of free cash flow — the first sign in the sector that expansion need not be equity-funded. [\(Source\)](#)

Financial Snapshot & Valuation

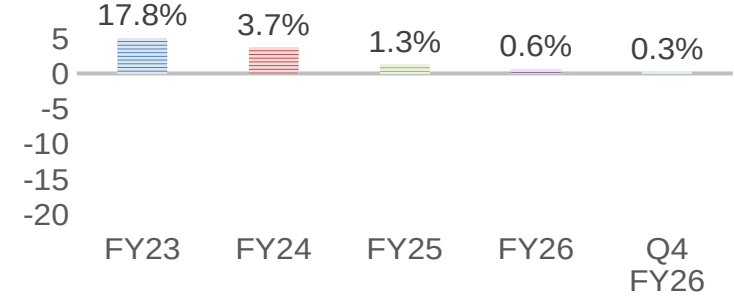
FY26 consolidated; market data as of 31-Jul-2026

Company	Rev (₹ Cr)	Rev gr %	EBITDA margin	PAT (₹ Cr)	M-cap (₹ Cr)	P/E	ROCE
Eternal*	54,364	169%	2.2%	366	2,91,734	674	2.5%
Swiggy	23,053	47%	(14.0%)	(4,154)	78,660	n.m.	(24.1%)
Meesho	12,626	34%	(11.8%)	(1,358)	84,331	n.m.	(35.6%)
Nykaa	10,022	26%	7.5%	204	95,439	456	17.2%
FirstCry	8,548	12%	3.1%	(204)	11,070	n.m.	0.6%
Flipkart India†	82,787	17%	n.a.	(5,189)	unlisted	—	—
Amazon Seller Svcs‡	n.a.	19%	n.a.	(374)	unlisted	—	—

*Blinkit's move to an inventory-led model grosses up Eternal's revenue; adjusted growth was 64%. †FY25 figures (unlisted). Sources: [Eternal](#) · [Swiggy](#) · [Meesho](#) · [Nykaa](#) · [FirstCry](#) · [Flipkart](#) · [Amazon](#); multiples from [Screener.in](#)

- Scale has arrived; profit has not. Two of the five listed platforms lost money in FY26, and the two that earned it did so on 2.2% and 7.5% EBITDA margins. The sector's combined FY26 revenue exceeds ₹1.08 lakh crore. [\(Source\)](#)
- Nykaa is the quality outlier. 26% revenue growth, a 7.5% EBITDA margin, PAT up 183% to ₹204 Cr and 17.2% ROCE — the payoff for owning inventory in a category where brand and curation still command margin. [\(Source\)](#)
- Eternal's headline growth is an accounting artefact. Revenue rose 169% only because Blinkit switched to an inventory-led model; like-for-like adjusted revenue grew 64%, which is the number to underwrite. [\(Source\)](#)
- Valuations discount a decade of execution. Eternal at ~674x and Nykaa at ~456x earnings, and Meesho at ₹84,331 Cr of market value on ₹1,358 Cr of losses, price in a profit pool that does not yet exist. [\(Source\)](#)
- Losses are narrowing where scale has been reached. Amazon Seller Services cut its loss 89% to ₹374 Cr and Meesho trimmed its Q4 loss 88% — operating leverage works once discounting eases. [\(Source\)](#)
- The unlisted leaders still set the price. Flipkart India's ₹82,787 Cr of FY25 revenue is larger than the entire listed set bar Eternal, and its FY27 IPO will reset how the sector is valued. [\(Source\)](#)

Unit Economics



- Blinkit crossed breakeven in Q4 FY26 at +0.3% of net order value, from -17.8% in FY23 — on ₹14,386 Cr of quarterly NOV, 2,243 dark stores and 27.2 Mn monthly transacting customers [\(Source\)](#)
- It got there on three levers, not price: AOV up ~30% since 2023, gross margin up 5–6 pps (ads now 5–6% of GMV), and variable cost down 1–2 pps as orders per store rose 1.4x [\(Source\)](#)
- Management targets 5–6% of NOV in a mature market such as Delhi NCR — so today's breakeven is roughly a twentieth of the steady-state prize [\(Source\)](#)

Unit Economics — Per Order & Per Shopper

Quick commerce and e-retail, 2025–26

Metric	Value
Q-commerce AOV (Blinkit, Q4 FY26)	₹525
Industry q-commerce basket (2025)	~\$7
Orders per q-comm shopper / month	~3.5
Monthly q-commerce shoppers	35–40 Mn
Ads monetisation (% of GMV)	5–6%
Gross margin gain, 2023→25	+5–6 pps
Variable cost reduction, 2023→25	1–2 pps
E-retail GMV per shopper, India	\$220–230
E-retail GMV per shopper, China	\$610–620

The order is small and the delivery is fast, so density is everything: profit comes from more orders per dark store and more advertising per order, not from charging the shopper more — AOV has been flat year on year [\(Source\)](#) (2)